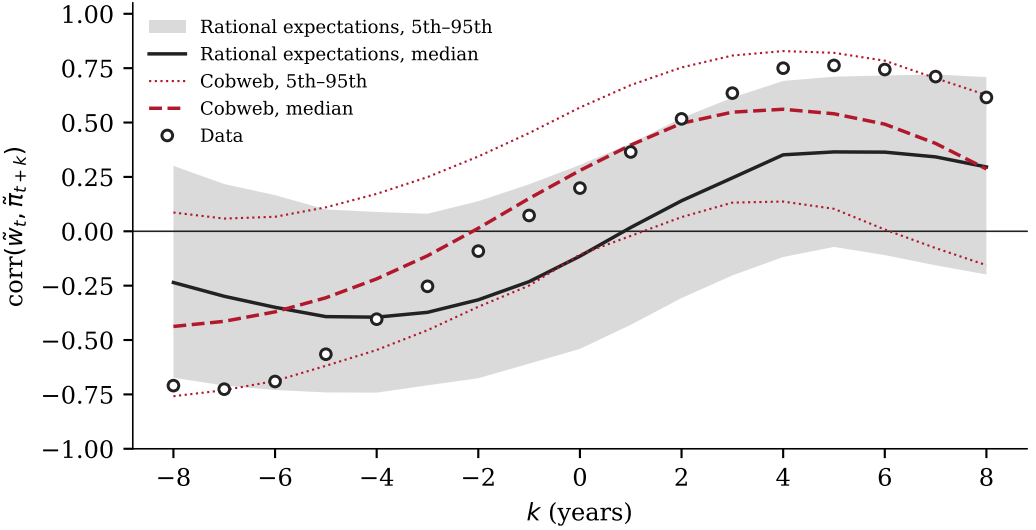
Rational expectations, 5th–95th
Rational expectations, median
Cobweb, 5th–95th
Cobweb, median
Data
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
−0.75
−1.00
corr($\tilde{w}_t$, $\tilde{\pi}_{t+k}$)
−8
−6
−4
−2
0
2
4
6
8
k (years)